Termination of Right of Stoppage

This right to stop the goods comes to an end:

(a) When the goods are delivered to the buyer or his agent or

(b) When, on arrival of the goods at the appointed destination, the carrier communicates to the buyer or his agent that he is holding the goods on his behalf

c. Right of Resale

The unpaid seller can resell the goods

(i) Where they are of a perishable nature or

(ii) After exercising his right of lien or stoppage in transit, even though he has given intimation to the buyer of his intention to resell, buyer has not tendered the price within a reasonable time.

(iii) Where the seller has expressly reserved the right of resale in the contract itself

I. (b). Where the Property in the Goods does not pass to the Buyer

Right of an Unpaid Seller against the Buyer Personally

(i) Suit for price: Where the ownership in the goods has passed to the buyer and the buyer refuses to pay for the goods, the seller can file case against the buyer for the price

(ii) Suit for Damages for Non-acceptance: Where the buyer wrongfully refuses to accept the goods, the seller can sue him for damages for non-acceptance of the goods.

(iii) Suit for Cancellation of the Contract before the Due Date: Where the buyer cancels the contract before the date of delivery, the seller may either treat the contract as continuing or wait till the due date or he can file a case against buyer immediately.

(iv) Suit for Interest: Where there is a specific agreement between buyer and seller regarding charging interest on the price, the seller can recover interest from the buyer from the due date of contract till the date of payment of purchase price. If there is no specific agreement, the seller can charge interest from such day as he may notify to the buyer.



For Own Thinking

(a) Find out whether the following transactions can be included under the Contract of Sale:

i. X agreed to sell 100 shares to Y for Rs. 10,000.
ii. X agreed to sell his building for Rs. 1,00,000 to Y
iii. X agreed to exchange with Y 100 kg of rice valued at Rs. 20 per kg for 200 Kg of wheat valued at Rs. 12 per kg. and pay the difference in cash.
iv. X agreed to transfer some jewellery to his prospective wife out of love and affection.
v. X agree to buy a painting from an artist
vi. X supplied a piece of cloth to a tailor to stitch a suit for him. The tailor agreed to supply lining materials and buttons.
vii. X agreed to pledge his goods valued at Rs. 1,00,000 with Y

Clues: Students are advised to understand the meaning for goods and the essential elements of contract of sale.

(b) Find out whether the following contracts of sale amount to sale or agreement to sell:

i. X entered into a contract for sale entire crop of rice cultivated in his farm.
ii. A railway administration agreed to sell coal-ash that might accumulated during the period of the contract.
iii. X entered into a contract for sale of some goods in a particular ship to be delivered on the arrival of the ship
iv. X entered into a contract for sale of a painting only if Z, its present owner sells it to him.

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